The private sector should rapidly expand in the country—going to districts, sub-districts and tehsils—to provide quality secondary and tertiary health services as close to people as economically justifiable. There is enormous health entrepreneurial talent in the country. The government can support it by taking the following measures:

First, bring in a good regulatory framework to obligate private hospitals to provide health and medical services benchmarked to established standards. The country does not have a good regulatory framework for hospitals or service standards. The regulatory framework need not adopt the licencing route, which can be extortionary and rent-seeking. The regulator must lay down standards to design and implement a system of reporting on adherence to standards and enforce compliance.

Second, sustain demand for the services of private-sector hospitals. This should primarily be achieved by expanding services available for the poor under Ayushman Bharat and empanelling as many private hospitals as possible that meet regulatory and quality standards.

Third, increase the supply of quality medical doctors and paramedics by liberalizing the establishment of medical colleges. India has only one doctor for about 1450 people; the WHO norm is one doctor for 1000 people. Most well-served countries have a much better ratio—China 670, the US 400, Australia 300 and Germany 250. India needs to aim for one doctor for 500 people. This would require the number of doctors to be tripled in the country.

Fourth, bring down the cost and time in establishing hospitals. There is no fast-track method of allocating land for hospitals. It is difficult for doctors to go through the maze of land conversion and other required processes. The cost of land is disproportionately high for non-agricultural use as there are enormous constraints on the supply of such lands. It is difficult to obtain loans and equity for non-established or single-doctor units. It might make sense to establish medical industrial parks in the